# Practice workbook · Promotion methods: above and below the line

Advertising, sponsorship, product trials and special offers; above- and below-the-line techniques; and choosing promotion for a segment.

22 question parts: 1 worked-example retry and 21 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S4-20

# 1. Question 1 · part f · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f only.

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**1** (a) (i) Which **one** of the following is an advantage of primary market research?

**(1)**

Select **one** answer.

- ☒ **A** It is a more up to date method of research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is cheaper than other types of market research
- ☒ **D** It is only done by market-research agencies

(ii) Which **one** of the following is a financial objective?

**(1)**

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Market share
- ☒ **C** Independence
- ☒ **D** Control

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# 1. Question 1 · part f · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f only.

**Figure 1** shows selected financial information for a pottery business.

| | |
|---|---|
| Number of ceramic bowls sold per day | 200 |
| Price per bowl | £12.00 |
| Variable cost per bowl | £3.00 |
| Fixed costs per day | £600 |

**Figure 1**

(iii) Which **one** of the following is the total revenue for a day?

(1)

Select **one** answer.

☒ **A** £600

☒ **B** £1 800

☒ **C** £2 400

☒ **D** £7 200

(iv) Which **one** of the following would be a disadvantage for a partner in a partnership?

(1)

Select **one** answer.

☒ **A** Sharing the workload

☒ **B** Liability for all debts

☒ **C** Access to more capital

☒ **D** Sharing skills

*Huawei*'s brand value for 2018 was $7.6 billion. *Huawei* plans to increase its brand value by 14% in 2019.

(v) What would be the brand value in 2019?

(1)

Select **one** answer.

☒ **A** $6.20 billion

☒ **B** $7.74 billion

☒ **C** $8.66 billion

☒ **D** $10.64 billion

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# 1. Question 1 · part f · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f only.

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(vi) Which **one** of the following is a source of long-term finance?

(1)

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Sales revenue
- ☒ **C** Trade credit
- ☒ **D** Bank loan

(b) Define the term **sole trader**.

(1)

(c) Define the term **demographics**.

(1)

(d) State **one** reason why *Huawei* may use share capital as a source of finance.

(1)

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# 1. Question 1 · part f · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f only.

**Figure 2** is part of the statement of comprehensive income for *Huawei* in 2018.

| | (CNY) million |
|---|---|
| Revenue | 721 202 |
| Operating profit | 73 287 |

**Figure 2**

(e) Calculate, to two decimal places, the operating profit margin for *Huawei*. You are advised to show your working.

**(2)**

..... %

(f) Explain **one** advantage for a business of using **sponsorship**.

**(3)**

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# 1. Question 1 · part f · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f only.

(g) Analyse the benefits for *Huawei* of locating its factories near to its labour sources.

(6)

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**(Total for Question 1 = 20 marks)**

# 1. Question 1 · part f · 3 marks · Working and answer

Working and answer

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## 2. Question 1 · part c · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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**1** *Lavender*, a Malaysian business, started with bakery, patisserie and takeaway shops. It has now developed into several other businesses. *L.café* is a self-serve café selling a variety of cakes and drinks. *L.bistro* is a casual dining place with a selection of Asian foods. *L.table* is a formal restaurant that uses high quality and organic ingredients.

(Source adapted from: https://www.lavender.com.my/about-us-c1kfx)

(a) (i) Which **one** of the following would be a source of finance that could be used for a cash flow problem?

**(1)**

Select **one** answer.

- ☒ **A** Venture capital
- ☒ **B** Overdraft
- ☒ **C** Debenture
- ☒ **D** Leasing

(ii) Which **one** of the following is a phase of the product life cycle?

**(1)**

Select **one** answer.

- ☒ **A** Star
- ☒ **B** Place
- ☒ **C** Maturity
- ☒ **D** Branding

(iii) Which **one** of the following is an example of a fixed cost for *Lavender*?

**(1)**

Select **one** answer.

- ☒ **A** Flour used in the cakes
- ☒ **B** Packaging used for *Lavender*'s cakes
- ☒ **C** Sugar used in production
- ☒ **D** Rent for *Lavender*'s businesses

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## 2. Question 1 · part c · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(iv) When a business employs a new member of staff, part of their induction training would include:

(1)

Select **one** answer.

- ☒ **A** Health and safety
- ☒ **B** Total Quality Management
- ☒ **C** Off-the-job training
- ☒ **D** Government schemes

*Lavender* buys 150 kilograms (kgs) of yeast from Germany at a cost of €2 250.

The exchange rate is €1 = 5 Malaysian Ringgits (MYR).

(v) How much does *Lavender* pay in MYR for the yeast?

(1)

Select **one** answer.

- ☒ **A** 750
- ☒ **B** 2 250
- ☒ **C** 11 250
- ☒ **D** 337 500

*Lavender* calculates the cost of the cakes it makes. The weekly fixed cost is 759 MYR. The variable cost per cake is 4.70 MYR.

(vi) Calculate the total cost of selling 1,650 cakes in a week.

(1)

Select **one** answer.

- ☒ **A** 2 413.70
- ☒ **B** 3 567.30
- ☒ **C** 7 755.00
- ☒ **D** 8 514.00

(b) Define the term **short-term finance**.

(1)

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## 2. Question 1 · part c · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(c) Define the term **above the line promotion**.

(1)

(d) State **one** reason *Lavender* would recruit internally.

(1)

*Lavender* are offering a discount of 15% if customers buy 25 cakes. Each cake costs 12 MYR.

(e) Calculate the cost of buying 25 cakes. You are advised to show your working.

(2)

MYR

(f) Explain **one** advantage of being a franchisee.

(3)

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## 2. Question 1 · part c · 1 mark · Working and answer

Working and answer

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## 3. Question 2 · part d · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part d only.

**2** *Backyard Shoez* is now planning to sell shoes to men and children as well as ladies.

(a) State **one** fringe benefit that *Backyard Shoez* can offer its employees.

(1)

(b) State **one** benefit to *Backyard Shoez* of using off-the-job training.

(1)

(c) Explain **one** reason why many businesses have a human resource functional area.

(3)

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(d) Explain **one** method of above the line promotion a business could use.

(3)

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## 3. Question 2 · part d · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part d only.

(e) Explain **one** way the product life cycle can be extended.

(3)

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## 3. Question 2 · part d · 3 marks · Working and answer

Working and answer

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## 4. Question 1 · part f · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part f only.

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**1** *Hans Raj Mahajan Worldwide (HRMW)* is an established manufacturer of sports equipment and sportswear in India. It is a family-run business, which started trading in 1925 and since then has grown to become an established business. Its products are exported across the world. These include footballs, boxing gloves, hockey sticks and sports clothing.

(a) (i) Which **one** of the following is the meaning of production?

Select **one** answer.

(1)

- ☒ **A** Provision of services
- ☒ **B** Exchange of goods
- ☒ **C** Extraction of raw materials
- ☒ **D** Manufacture of finished goods

(ii) Which **one** of the following is a benefit to a person of buying a franchise?

Select **one** answer.

(1)

- ☒ **A** The person can buy supplies from any supplier
- ☒ **B** The person is given support from an established business
- ☒ **C** The person is guaranteed a set wage
- ☒ **D** The person shares their profits with the franchisee

A football that costs 1 060 Indian Rupees is sold for 1 600 Indian Rupees.

(iii) Which **one** of the following would be the markup percentage?

Select **one** answer.

(1)

- ☒ **A** 6.63%
- ☒ **B** 15.09%
- ☒ **C** 33.75%
- ☒ **D** 50.94%

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# 4. Question 1 · part f · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part f only.

The bank interest rate in India changed from 4.5% to 6.0%.

(iv) Which **one** of the following could affect a business because of this change?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Increase in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(v) Which **one** of the following is a feature of a public corporation?

Select **one** answer.

(1)

- ☒ **A** It is owned by a board of directors
- ☒ **B** It is funded by government
- ☒ **C** It aims to maximise profit
- ☒ **D** It is not accountable to anyone

**Figure 1** shows the cash flow of a business for a month.

| | (£) |
|---|---|
| Opening balance | 1 020 000 |
| Cash inflow | 360 000 |
| Cash outflow | 400 000 |

**Figure 1**

(vi) Which **one** of the following is the closing balance for the business at the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£40 000
- ☒ **B** £40 000
- ☒ **C** £980 000
- ☒ **D** £1 060 000

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## 4. Question 1 · part f · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part f only.

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(b) Define the term **commission**.

(1)

(c) Define the term **revenue**.

(1)

(d) State **one** possible reason why *HRMW* has a short span of control.

(1)

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# 4. Question 1 · part f · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part f only.

**Figure 2** shows *HRMW*'s estimated revenues.

| Year | Revenue in Rupee (000) |
|---|---|
| 2020–2021 | 85 083 |
| 2021–2022 | 92 322 |

**Figure 2**

(e) Calculate, to two decimal places, the percentage increase from 2020–2021 to 2021–2022. You are advised to show your working.

**(2)**

.....%

(f) Explain **one** reason why a business would sponsor an event.

**(3)**

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## 4. Question 1 · part f · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part f only.

(g) Analyse the benefit to *HRMW* of branding the products it sells.

(6)

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**(Total for Question 1 = 20 marks)**

## 4. Question 1 · part f · 3 marks · Working and answer

Working and answer

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## 5. Question 3 · part b · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part b only.

**3** *NEXT* works hard to remain competitive with other retailers of similar products.

(a) Define the term **economies of scale**.

**(1)**

(b) Outline **one** reason why *NEXT* uses special offers.

**(2)**

Of *NEXT*'s 43,000 employees, 70% are women.

(c) Calculate the number of women working at *NEXT*. You are advised to show your working.

**(2)**

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## 5. Question 3 · part b · 2 marks · Working and answer

Working and answer

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## 6. Question 2 · part d · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part d only.

**2** All 18,000 *LEGO* employees are full-time.

(a) State **one** financial objective for *LEGO*.

**(1)**

(b) State **one** possible reason why *LEGO* does not recruit casual employees.

**(1)**

(c) Explain **one** reason why a business would pay its employees above the minimum wage.

**(3)**

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## 6. Question 2 · part d · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part d only.

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(d) Explain **one** reason why product trials are important to a business.

**(3)**

(e) Explain **one** reason why a business complies with health and safety legislation.

**(3)**

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## 6. Question 2 · part d · 3 marks · Working and answer

Working and answer

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## 7. Question 2 · part d · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part d only.

**2** (a) State **one** non-financial method *AWG* may use to motivate its employees.

**(1)**

(b) State **one** task of an *AWG* employee working in the human resources department.

**(1)**

(c) Explain **one** benefit of globalisation to a small business.

**(3)**

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## 7. Question 2 · part d · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part d only.

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(d) Explain **one** method of below-the-line promotion a business may use to retain its customers.

**(3)**

(e) Explain **one** benefit to a business of using market segmentation to target its customers.

**(3)**

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## 7. Question 2 · part d · 3 marks · Working and answer

Working and answer

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# 8. Question 2 · part d · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part d only.

**2** (a) State **one** reason why branding is important to *Saha*.

(1)

(b) State **one** task that an employee working in the production department at *Saha* might do.

(1)

(c) Explain **one** disadvantage for a business of using flow production to produce its goods.

(3)

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## 8. Question 2 · part d · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part d only.

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(d) Explain **one** method of above the line promotion a business may use to increase its sales revenue.

**(3)**

(e) Explain **one** reason why the proximity to materials is important to a business when locating to a new factory.

**(3)**

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## 8. Question 2 · part d · 3 marks · Working and answer

Working and answer

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# 9. Question 2 · part d · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

**2** *Premier Inn* wants to retain its employees so it can continue to maintain the service it provides for guests.

(a) State **one** activity carried out by the marketing functional area at *Premier Inn*.

**(1)**

(b) State **one** reason why *Premier Inn* uses seasonal employees.

**(1)**

(c) Explain **one** reason why a business would use robotics in its production.

**(3)**

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# 9. Question 2 · part d · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

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(d) Explain **one** reason why a business might use sponsorship.

**(3)**

(e) Explain **one** advantage for a country of being in a trading bloc.

**(3)**

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## 9. Question 2 · part d · 3 marks · Working and answer

Working and answer

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## 10. Question 3 · part b · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part b only.

**3** (a) Define the term **span of control**.

**(1)**

(b) Outline **one** way *Ocean Vibes* may promote its business.

**(2)**

**Figure 2** shows an extract from financial statements of a business in 2023.

| | € |
|---|---|
| **Gross profit** | 220 000 |
| **Operating expenses** | 160 000 |
| **Operating profit** | 60 000 |
| **Capital employed** | 80 000 |

**Figure 2**

(c) Calculate the return on capital employed (ROCE). You are advised to show your working.

**(2)**

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## 10. Question 3 · part b · 2 marks · Working and answer

Working and answer

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## 11. Question 4 · part b · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part b only.

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**4** The minimum wage in the UK is £7.70. The UK Government is looking to increase this by 2.5%.

(a) Calculate the new minimum wage after an increase of 2.5%. You are advised to show your working.

**(2)**

£.....

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## 11. Question 4 · part b · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part b only.

(b) Analyse the benefits for *TADS* of using below-the-line promotion.

**(6)**

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# 11. Question 4 · part b · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part b only.

At the moment *TADS* operates as a sole trader. As it becomes more successful Ollie is considering becoming a private limited company.

(c) Evaluate whether *TADS* should consider becoming a private limited company. You should use the information provided as well as your own knowledge of business.

**(12)**

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## 11. Question 4 · part b · 6 marks · Working and answer

Working and answer

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## 12. Question 2 · part f · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

**2** (a) State **one** primary research method that *Loaf* could use.

**(1)**

(b) State **one** drawback for *Loaf* of poor customer service.

**(1)**

(c) Explain **one** benefit to a business of using e-newsletters.

**(3)**

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## 12. Question 2 · part f · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

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(d) Explain **one** responsibility of the human resources function in a business.

**(3)**

(e) Explain **one** way in which the just in time (JIT) method of stock control might benefit a business.

**(3)**

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## 12. Question 2 · part f · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

*Loaf* would like to carry out some promotional activities to increase customer numbers for its bakery and cookery courses.

It is considering the following two options:

**Option 1:** offering free bite-sized pieces of its bread and cakes to people passing its shop

**Option 2:** using posters to advertise *Loaf* in local charity shops.

(f) Justify which **one** of these two options *Loaf* should choose.

**(9)**

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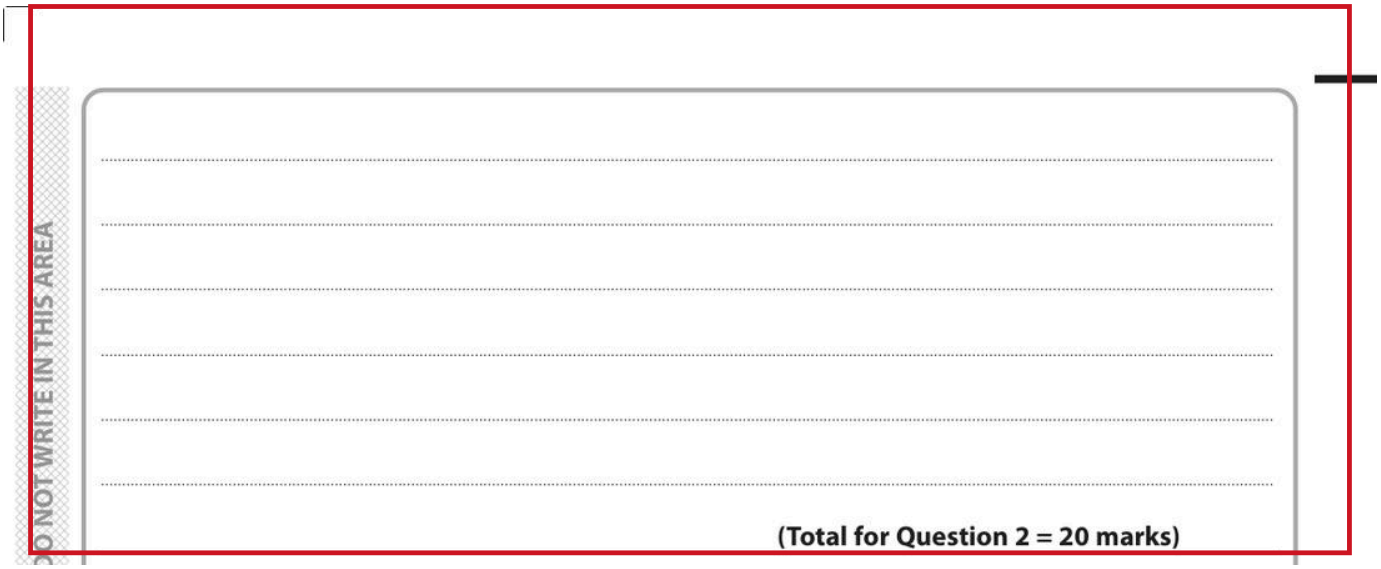
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## 12. Question 2 · part f · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.




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## 12. Question 2 · part f · 9 marks · Working and answer

Working and answer

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## 13. Question 3 · part e · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.

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**3** Saving the environment in which we all live is important. The Chairman ensures that *Emirates* works hard to recycle many of the materials it uses and to reduce atmospheric pollution from the fuel that powers its aircraft. Water consumption for washing aircraft has been reduced, newspapers and other paper products collected from *Emirates* aircraft cabins are recycled. *Emirates* uses a variety of methods to monitor its employees when carrying out these jobs. For these roles *Emirates* uses a short chain of command.

(a) Define the term **hierarchical structure**.

**(1)**

(b) Outline **one** reason why *Emirates* has a short chain of command for monitoring its employees when recycling.

**(2)**

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*Emirates* used 13,457,776 litres of petrol in 2016–2017. In 2017–2018 it reduced this figure by 12.5%.

(c) Calculate the number of litres of petrol that *Emirates* used in 2017–2018. You are advised to show your workings.

**(2)**

..... litres

## 13. Question 3 · part e · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.

(d) Analyse why *Emirates* would want to be more environmentally friendly.

**(6)**

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## 13. Question 3 · part e · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.

*Emirates* wants to improve its market share to regain its number one position with passengers. It needs to improve its promotional activities. It is considering two options:

**Option 1:** increase the number of special offers

**Option 2:** increase advertising via social media.

(e) Justify which **one** of these two options *Emirates* should use.

**(9)**

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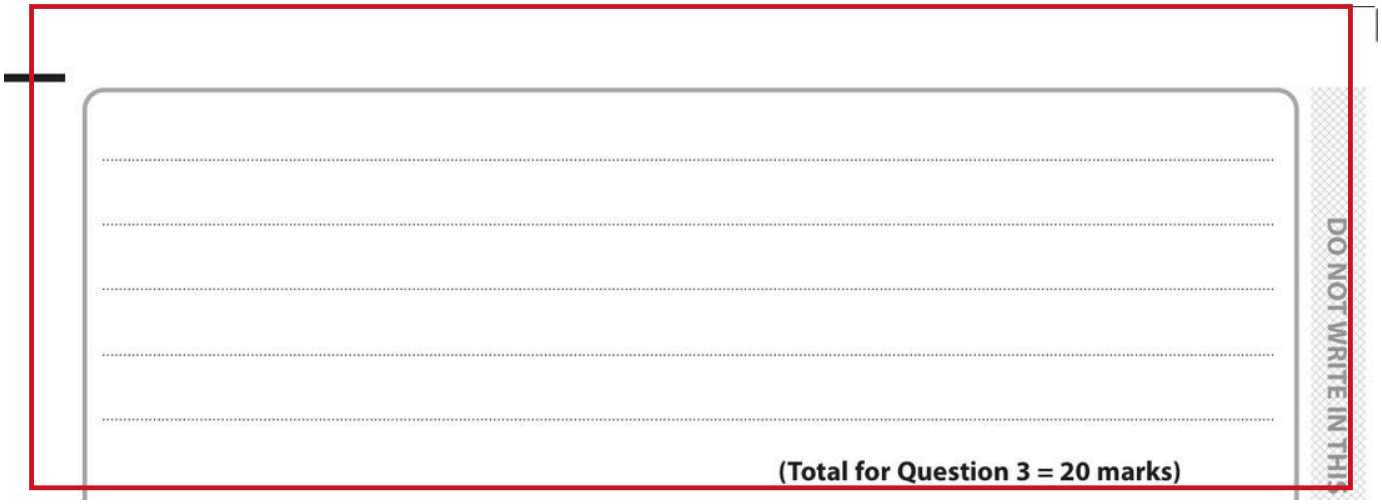
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## 13. Question 3 · part e · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part e only.




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## 13. Question 3 · part e · 9 marks · Working and answer

Working and answer

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## 14. Question 2 · part f · 9 marks

2021 JUN · Paper 02

Further practice · Attempt part f only.

**2** (a) State **one** reason why *NEXT* would want to promote its own employees.

**(1)**

(b) State **one** reason why *NEXT* complies with health and safety laws.

**(1)**

(c) Explain **one** reason why businesses fail.

**(3)**

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## 14. Question 2 · part f · 9 marks

2021 JUN · Paper 02

Further practice · Attempt part f only.

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(d) Explain **one** reason why a business would use batch production.

**(3)**

(e) Explain **one** reason why employees keep their curriculum vitae (CV) up to date.

**(3)**

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## 14. Question 2 · part f · 9 marks

2021 JUN · Paper 02

Further practice · Attempt part f only.

*NEXT* already uses a range of promotional methods to encourage customers to buy its products. It is now considering the following two methods as a way of increasing customer awareness of its brand and products:

**Option 1:** targeted advertising online

**Option 2:** e-newsletters.

(f) Justify which **one** of these two options *NEXT* should choose.

**(9)**

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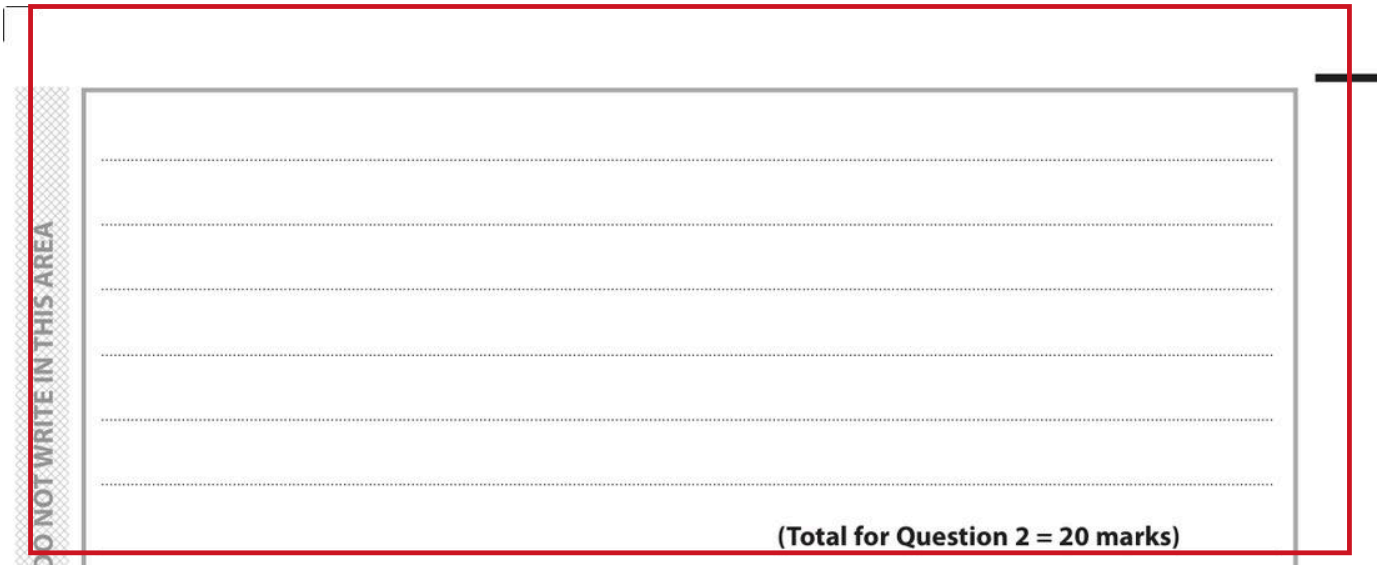
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## 14. Question 2 · part f · 9 marks

2021 JUN · Paper 02

Further practice · Attempt part f only.




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## 14. Question 2 · part f · 9 marks · Working and answer

Working and answer

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## 15. Question 2 · part f · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part f only.

**2** (a) State **one** reason why *Artify Studio* would want to offer a high-quality service.

**(1)**

(b) State **one** advantage for *Artify* Studio of using part-time employees.

**(1)**

(c) Explain **one** benefit to a business of being a partnership.

**(3)**

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## 15. Question 2 · part f · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part f only.

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(d) Explain **one** way social media can be used by a business.

**(3)**

(e) Explain **one** benefit for a business from the introduction of total quality management (TQM).

**(3)**

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## 15. Question 2 · part f · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part f only.

*Artify Studio* has decided to use public relations to improve its image.

It is considering two options:

**Option 1:** sponsoring a local art show in the Kampong Glam area

**Option 2:** having a stand at a national art exhibition in Singapore's capital.

(f) Justify which **one** of these two options *Artify Studio* should choose.

**(9)**

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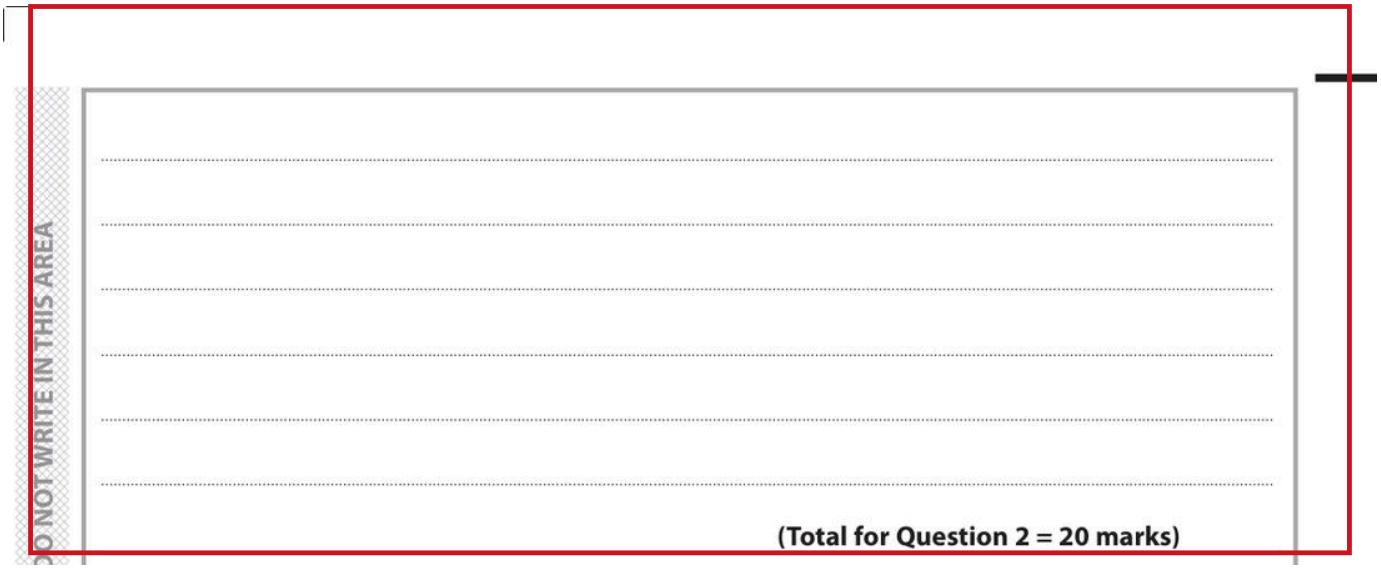
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## 15. Question 2 · part f · 9 marks

2021 NOV · Paper 01

Further practice · Attempt part f only.




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## 15. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

## 16. Question 2 · part f · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

**2** (a) State **one** fringe benefit *Aude Rose* could offer its employees.

**(1)**

(b) State **one** reason why branding is important to *Aude Rose*.

**(1)**

(c) Explain **one** impact of ineffective communication on a business.

**(3)**

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## 16. Question 2 · part f · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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(d) Explain **one** advantage of a partnership.

(3)

(e) Explain **one** disadvantage to a business of product orientation.

(3)

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## 16. Question 2 · part f · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

*Aude Rose* is looking to increase its sales. It is considering two options:

**Option 1:** sponsor a local event such as a flower show

**Option 2:** advertise, using leaflets around Paris.

(f) Justify which **one** of these two options *Aude Rose* should choose.

**(9)**

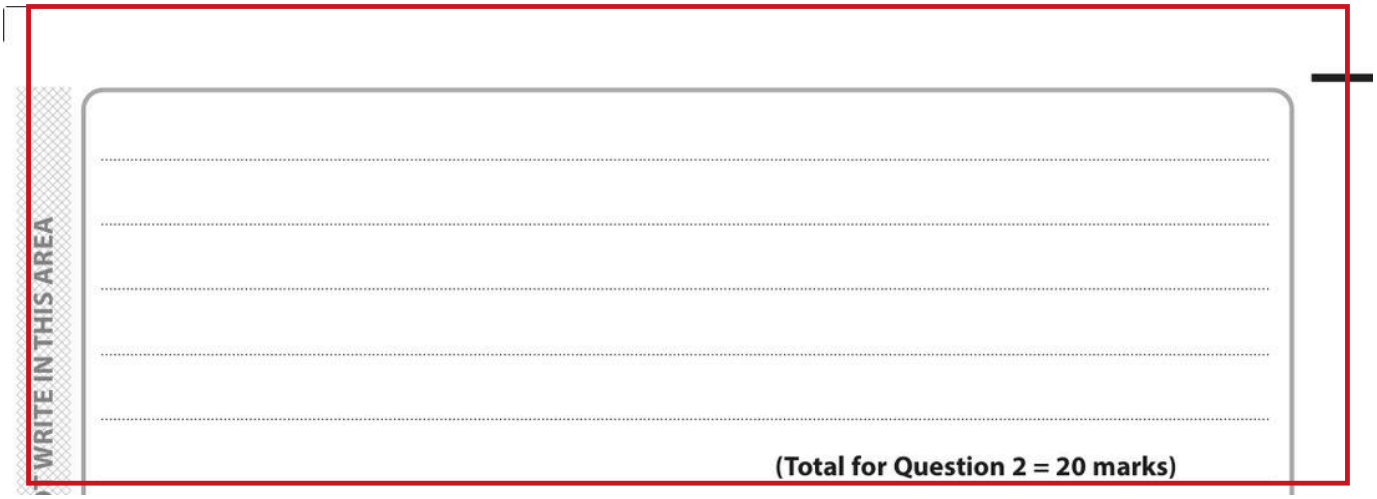
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## 16. Question 2 · part f · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.




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## 16. Question 2 · part f · 9 marks · Working and answer

Working and answer

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## 17. Question 2 · part f · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

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**2** One of *IKEA*'s aims is to keep up to date with the changes taking place in product design and meeting customers' needs. To do this it has to introduce new and different products on a regular basis.

(a) State **one** reason why *IKEA* would employ temporary staff.

**(1)**

(b) State **one** financial objective *IKEA* might have.

**(1)**

(c) Explain **one** reason why cash flow forecasting is important to a business.

**(3)**

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## 17. Question 2 · part f · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

(d) Explain **one** reason why diseconomies of scale may occur.

(3)

(e) Explain **one** reason why businesses continually design new products.

(3)

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## 17. Question 2 · part f · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

*IKEA* constantly aims to improve the way it promotes its furniture. To do this *IKEA* is considering using the following techniques.

**Option 1:** above the line promotion

**Option 2:** below the line promotion.

(f) Justify which **one** of these two options *IKEA* should use.

**(9)**

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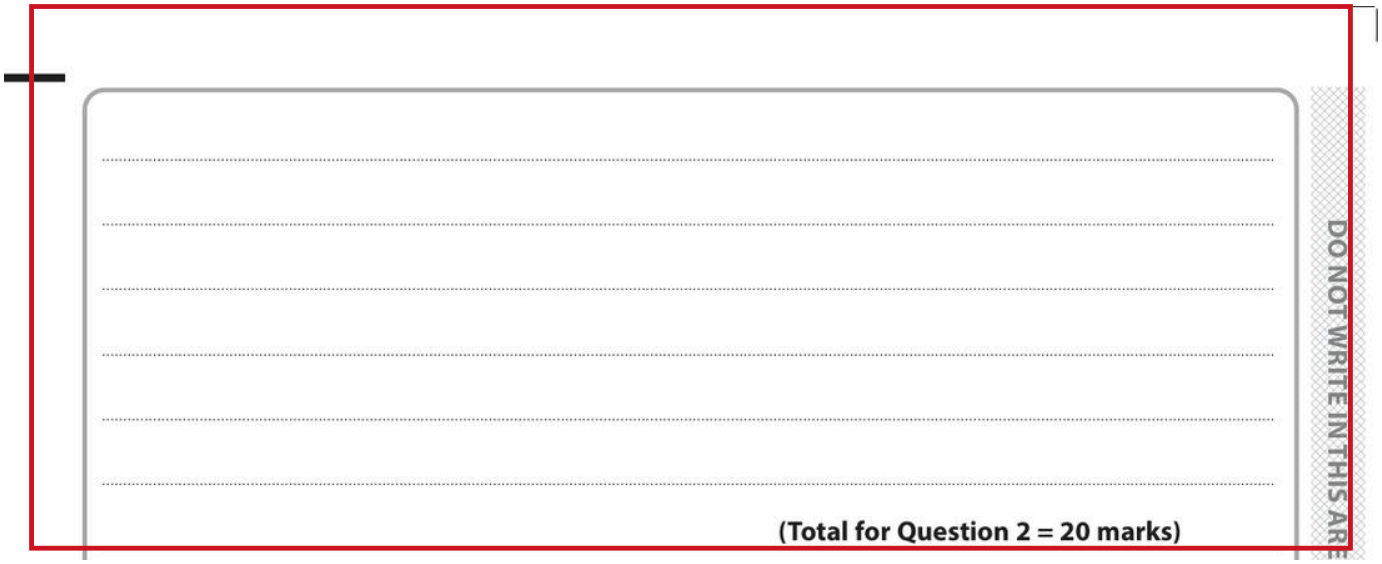
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## 17. Question 2 · part f · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.




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## 17. Question 2 · part f · 9 marks · Working and answer

Working and answer

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## 18. Question 2 · part f · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part f only.

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**2** *Kraft Heinz* has different functional areas within the business. These functional areas work together to ensure that *Kraft Heinz* maintains high standards of production with limited waste material.

*Kraft Heinz* aims to be involved in the local area through various methods such as charity and sporting events.

(a) State **one** task that human resources would carry out at *Kraft Heinz* when recruiting an employee.

**(1)**

(b) State **one** financial objective *Kraft Heinz* might have.

**(1)**

(c) Explain **one** reason why some businesses use crowdfunding as a source of finance.

**(3)**

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## 18. Question 2 · part f · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part f only.

(d) Explain **one** disadvantage to a business of using retained profits to purchase goods and services.

**(3)**

(e) Explain **one** reason why the quality of goods manufactured by a business is important to its success.

**(3)**

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## 18. Question 2 · part f · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part f only.

*Kraft Heinz* constantly aims to promote its products to encourage people to increase sales. To do this *Kraft Heinz* is considering using the following techniques:

**Option 1:** sponsorship of a local charity

**Option 2:** increasing the number of special offers.

(f) Justify which **one** of these two options *Kraft Heinz* should choose.

**(9)**

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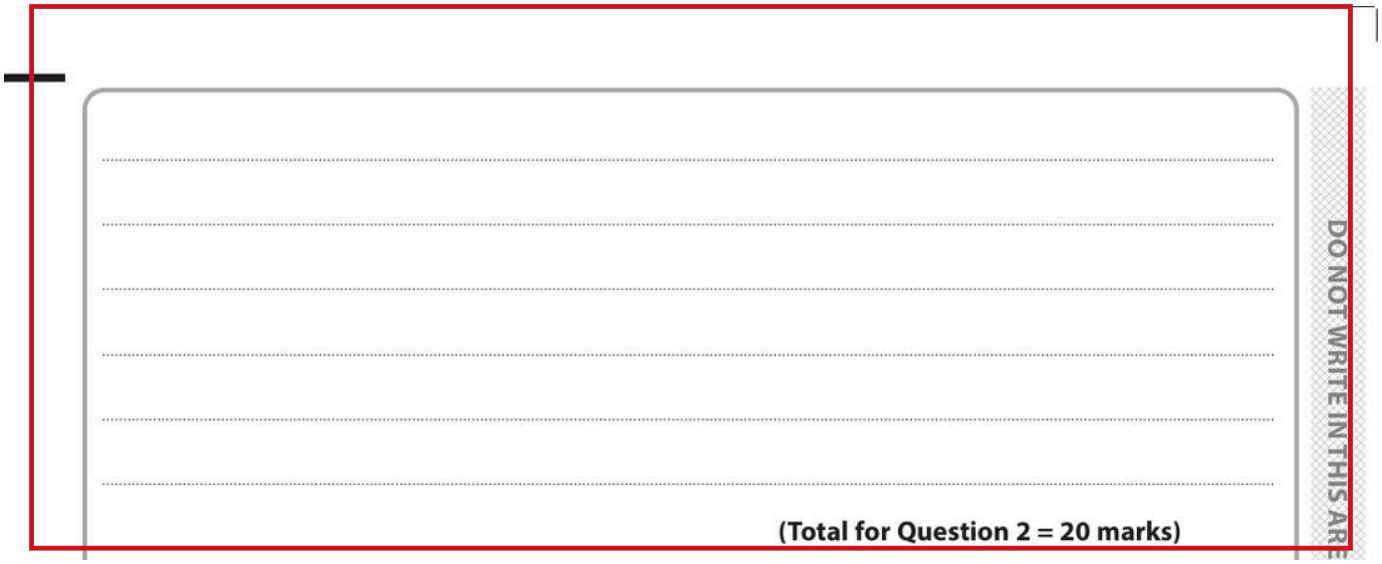
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## 18. Question 2 · part f · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part f only.




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## 18. Question 2 · part f · 9 marks · Working and answer

Working and answer

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## 19. Question 2 · part f · 9 marks

2024 JUN · Paper 01

Further practice · Attempt part f only.

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**2** (a) State **one** advantage for *PPS* of keeping its customers loyal.

**(1)**

(b) State **one** reason why *PPS* motivates its employees.

**(1)**

(c) Explain **one** impact on a business of ineffective communication.

**(3)**

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## 19. Question 2 · part f · 9 marks

2024 JUN · Paper 01

Further practice · Attempt part f only.

(d) Explain **one** advantage to a business of having a decentralised organisation.

(3)

(e) Explain **one** benefit to a business of using seasonal employees.

(3)

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## 19. Question 2 · part f · 9 marks

2024 JUN · Paper 01

Further practice · Attempt part f only.

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*PPS* is looking to improve its revenue and is considering two options:

**Option 1:** trial a new brand of dog food in the shop

**Option 2:** sponsor a local dog show.

(f) Justify which **one** of these two options *PPS* should choose.

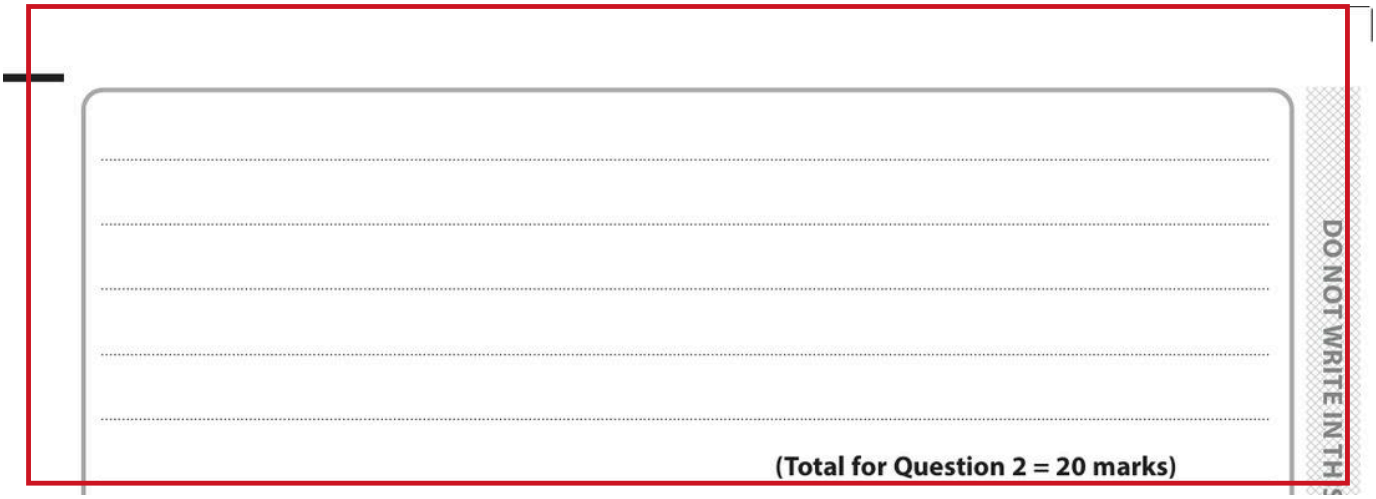
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## 19. Question 2 · part f · 9 marks

2024 JUN · Paper 01

Further practice · Attempt part f only.




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## 19. Question 2 · part f · 9 marks · Working and answer

Working and answer

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## 20. Question 3 · part e · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

**3** (a) Define the term **just-in-time (JIT)**.

**(1)**

(b) Outline **one** reason why *Rabanne* uses different methods to advertise job vacancies.

**(2)**

**Figure 2** shows the current assets for *Rabanne* in 2021 and 2022.

| Year | Current Assets |
|---|---|
| 2021 | $8 527 |
| 2022 | $5 952 |

**Figure 2**

(c) Calculate, to two decimal places, the percentage decrease in current assets. You are advised to show your working.

**(2)**

..... %

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## 20. Question 3 · part e · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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Packaging of all its products is important to *Rabanne*. It wants to ensure that all products delivered to customers are in the best condition and not damaged. However, it works hard to reduce the amount of packaging, thus reducing waste.

(d) Analyse the importance for *Rabanne* of using its resources effectively.

**(6)**

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## 20. Question 3 · part e · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

Over the past few years a number of new aftershave and perfume businesses have opened and may compete with *Rabanne*. To keep up with its competitors *Rabanne* is reviewing its marketing strategies. It is considering the following two options:

**Option 1:** increasing the number of product trials

**Option 2:** increasing advertising.

(e) Justify which **one** of these two options *Rabanne* should choose.

**(9)**

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## 20. Question 3 · part e · 9 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

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## 20. Question 3 · part e · 9 marks · Working and answer

Working and answer

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## 21. Question 2 · part f · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part f only.

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**2** (a) State **one** reason why *Samsung* may need long-term finance.

**(1)**

(b) State **one** reason why quality control is a benefit to *Samsung*.

**(1)**

(c) Explain **one** advantage to a business of having a social objective.

**(3)**

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## 21. Question 2 · part f · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part f only.

(d) Explain **one** limitation of a break-even chart.

(3)

(e) Explain **one** benefit to a business of being located within a trading bloc.

(3)

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## 21. Question 2 · part f · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part f only.

*Samsung* competes for market share with businesses such as *Apple* and *Xiaomi* in the technology market.

*Samsung* plans to increase its promotional spending to increase its market share.

*Samsung* is considering the following two options:

**Option 1:** Sponsor celebrities to use its products

**Option 2:** Provide a free game app to customers when they purchase a product.

(f) Justify which **one** of these two options *Samsung* should choose.

**(9)**

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## 21. Question 2 · part f · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part f only.

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**(Total for Question 2 = 20 marks)**

## 21. Question 2 · part f · 9 marks · Working and answer

Working and answer

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## 22. Question 4 · part c · 12 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

**4** **Figure 3** shows the gross profit for *Kraft Heinz* for the three months ending 25 June 2022:

| | Million (US Dollars) |
|---|---|
| Gross profit | 1 984 |
| Revenue | 6 554 |

**Figure 3**

(a) Calculate, to two decimal places, the gross profit margin for *Kraft Heinz* for the three months ending 25 June 2022. You are advised to show your working.

**(2)**

.....%

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## 22. Question 4 · part c · 12 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

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(b) Analyse the benefits to countries where *Kraft Heinz* is located.

**(6)**

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## 22. Question 4 · part c · 12 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

*Kraft Heinz* advertises on a regular basis using different methods such as television and posters. Its products are purchased by the young and old. In 2019, it used a television advertisement with Ed Sheeran, the pop star, demonstrating his taste for Heinz tomato sauce.

(c) Evaluate the importance to *Kraft Heinz* of using a variety of different methods to advertise to its target customers. You should use the information provided as well as your own knowledge of business.

**(12)**

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## 22. Question 4 · part c · 12 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.



## 22. Question 4 · part c · 12 marks · Working and answer

Working and answer

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